

5-2a The Price Elasticity of Supply and Its Determinants

The law of supply states that higher prices raise the quantity supplied. The **price elasticity of supply** (a measure of how much the quantity supplied of a good responds to a change in the price of that good, computed as the percentage change in quantity supplied divided by the percentage change in price)

measures how much the quantity supplied responds to changes in the price. Supply of a good is said to be *elastic* if the quantity supplied responds substantially to changes in the price. Supply is said to be *inelastic* if the quantity supplied responds only slightly to changes in the price.

The price elasticity of supply depends on the flexibility of sellers to change the amount of the good they produce. For example, beachfront land has an inelastic supply because it is almost impossible to produce more of it. Manufactured goods, such as books, cars, and televisions, have elastic supplies because firms that produce them can run their factories longer in response to higher prices.

In most markets, a key determinant of the price elasticity of supply is the time period being considered. Supply is usually more elastic in the long run than in the short run. Over short periods of time, firms cannot easily change the size of their factories to make more or less of a good. Thus, in the short run, the quantity supplied is not very responsive to changes in the price. Over longer periods of time, firms can build new factories or close old ones. In addition, new firms can enter a market, and old firms can exit. Thus, in the long run, the quantity supplied can respond substantially to price changes.